

ETHEREUM MONETARY ANALYSIS

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Premium — A data-driven analysis of ETH's deflationary mechanics, issuance, and long-term supply trajectory

121.6M

ETH Supply

0.1Gwei

Base Gas

\$2,243

ETH Price

+0.83%/yr

Supply Growth



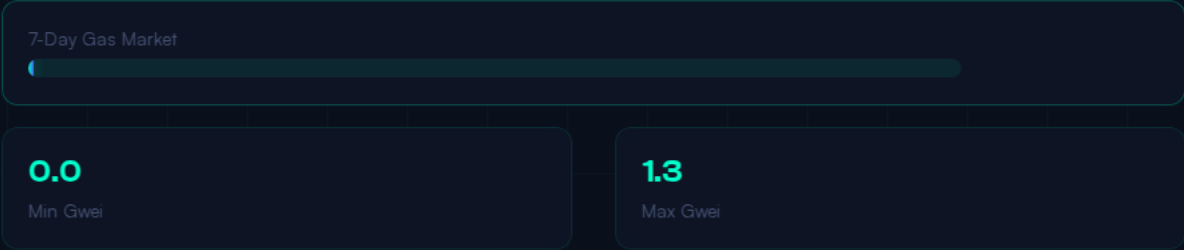
ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-day supply change snapshot: issuance overwhelms burn at current activity levels



Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burns the base fee — but when gas is this low, burn is negligible



Blob Gas (EIP-4844)

7.14Mwei

Avg Blob Gas

0.15 ETH

7-day Blob Burn (\$319)

Key Insight

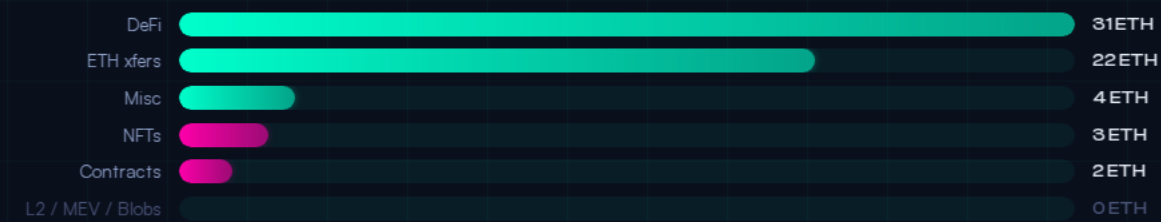
The **22 Gwei equilibrium** assumption used in long-term projections is **220x above** current levels. Low gas = low burn = temporary supply inflation.



DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn by category and top contracts — absolute volumes negligible at current gas

BURN BY CATEGORY



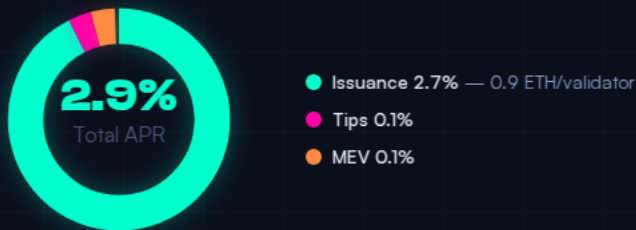
TOP BURN LEADERBOARD

CONTRACT	BURN (7D)
ETH Transfers	21.74 ETH
Tether USDT	13.55 ETH
DeFi Contracts	Various

Recent blocks show 0.00-0.01 ETH burned per block, 7-day record: just 0.07 ETH in a single block.

38.9METH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Validator rewards are dominated by protocol issuance — tips and MEV contribute negligibly



38.9METH

Staked (~32% of supply)

9.1METH

Locked in staking contracts

10.7 yrs

Avg lock duration

PoS issuance runs at ~2,800 ETH/day. Under normalized assumptions, fee burn would be ~2,200 ETH/day — but 7-day actual burn is far lower at current gas.



Long-Term Equilibrium Projected at 125.7METH

200-year supply trajectory converges to equilibrium at ~1,037K ETH/year issuance-burn balance



39M

ETH Staked (model)

22 Gwei

Base Gas Assumption

1,037K

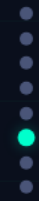
ETH/yr at Equilibrium

2.8K/day

PoS Issuance

2.2K/day

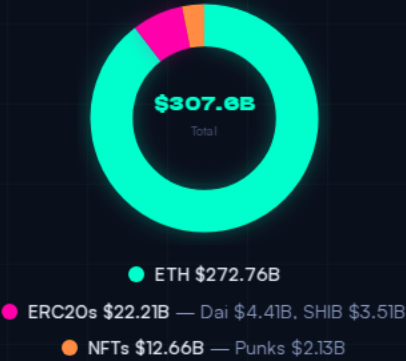
Burn (normalized)



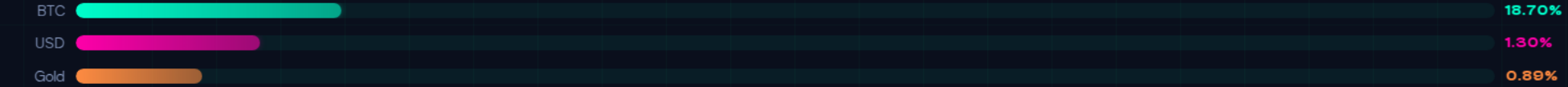
ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping progress and Total Value Secured breakdown across asset classes

TOTAL VALUE SECURED



FLIPPING PROGRESS



TOP ASSETS SECURED

ERC20	VALUE	NFT	VALUE
Dai	\$4.41B	CryptoPunks	\$2.13B
Shiba Inu	\$3.51B	BAYC	\$0.68B
Cronos	\$2.97B	ENS	\$0.63B
Tether Gold	\$2.65B	Pudgy Penguins	\$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

- 01** ETH is currently **mildly inflationary at +0.83%/yr** due to historically low gas fees (avg 0.1 Gwei), with burns offsetting only ~1% of issuance.
- 02** The burn mechanism works but **requires sustained on-chain activity** — DeFi and ETH transfers account for 85% of burn, but absolute volumes are negligible at current gas.
- 03** 38.9M ETH (32% of supply) is **staked**, creating significant supply lock with 9.1M ETH locked for avg 10.7 years.
- 04** Long-term equilibrium at 125.7M ETH is structurally sound — requiring ~22 Gwei average gas to balance issuance and burn at ~1,037K ETH/yr.
- 05** Ethereum secures **\$307B+ in total value** and has reached 18.7% of Bitcoin's market cap, demonstrating growing but still early monetary premium.

The ultra sound money thesis is structurally intact — but its near-term realization depends on on-chain activity recovery.